

XYZ Manufacturing Ltd.

Quarterly Financial Report — Q2 FY26

Quarter ended September 30, 2025

Registered Office: 12 Industrial Estate, Pune, Maharashtra 411018

Listed on NSE and BSE (fictitious ticker: XYZMFG) | CIN L29999PN1995PLC000000

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Basis of preparation: These condensed financials are unaudited and prepared under Indian Accounting Standards. Amounts are in ₹ crore unless stated otherwise.

FICTITIOUS SAMPLE REPORT prepared for the FinSight X prototype evaluation. XYZ Manufacturing Ltd. is not a real company and all figures are illustrative.

1. Management Discussion & Analysis

Demand environment remains healthy and we continue to see strong order inflows across segments. The quarter saw continued ramp-up of export volumes and firm domestic demand for precision components. Capacity utilisation improved to 84%. The Board reviewed the funding plan for Phase II and the company continues to evaluate a mix of internal accruals and term financing for the balance capital expenditure.

“Liquidity remains strong, with comfortable cash buffers to fund our growth plans.”

“We remain confident of margin recovery in the second half as input prices moderate.”

Key risks include commodity price volatility, customer concentration, execution risks in the Phase II expansion, and refinancing of term loans maturing in FY27.

Risk update

Commodity prices (specialty steel, aluminium alloys) remain elevated relative to prior year. The company has partially hedged next-quarter requirements. Export customers contributed 34% of revenue; the top five customers together contributed 41% of revenue.

2. Operational Highlights

Production volumes grew 7.7% quarter-on-quarter. The Phase II capacity expansion programme (₹480 crore) progressed on schedule; commissioning of the Chennai line-2 is expected in Q4 FY26.

“Our working capital discipline continues to improve, supported by better receivables management.”

Headcount stood at 4,812. Employee cost for the quarter was ₹124 crore. Manpower productivity improved 4% year-on-year on the back of automation initiatives.

Segment performance

Automotive components	52% of revenue	growth 10% YoY
Industrial machinery	31% of revenue	growth 15% YoY
Exports & others	17% of revenue	growth 9% YoY

Customer concentration remains a monitored risk; the top five customers contribute 41% of revenue.

3. Statement of Profit & Loss

Revenue from operations for the quarter ended September 30, 2025 stood at ₹1,312 crore, up 9.6% year-on-year (Q1 FY26: ₹1,245 crore). EBITDA margin declined to 18.0% (Q1 FY26: 19.9%) primarily on account of higher raw material costs, which rose to 55.1% of revenue (Q1 FY26: 52.4%). Finance costs for the quarter were ₹34 crore (Q1 FY26: ₹28 crore), reflecting higher average borrowings and effective interest rates. Net profit for the quarter declined to ₹128 crore (Q1 FY26: ₹142 crore), impacted by higher finance costs and margin compression.

₹ crore	Q1 FY26	Q2 FY26
Revenue from operations	1,245	1,312
Other income	12	11
Raw material cost (% sales)	52	55
Employee benefits expense	118	124
EBITDA	248	236
EBITDA margin (%)	20	18
Depreciation & amortisation	62	68
Finance costs	28	34
Profit before tax	170	145
Tax expense	28	17
Net profit	142	128
Net margin (%)	11	9.8

Other operating expenses are presented net of capitalisation. Figures may not add up due to rounding.

4. Balance Sheet (condensed)

Total borrowings (short-term and long-term) increased to ₹470 crore as at September 30, 2025 (₹400 crore as at June 30, 2025). Short-term borrowings were ₹165 crore (June 30, 2025: ₹120 crore).

Cash and cash equivalents stood at ₹142 crore (June 30, 2025: ₹186 crore).

Current liabilities increased to ₹551 crore (June 30, 2025: ₹486 crore), reflecting higher short-term borrowings and creditor dues.

Trade receivables were ₹356 crore (Q1 FY26: ₹312 crore) and inventories ₹281 crore (Q1 FY26: ₹245 crore).

₹ crore	Q1 FY26	Q2 FY26
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Cash and cash equivalents	186	142
Trade receivables	312	356
Inventories	245	281
Current assets (A)	690	705
Current liabilities (B)	486	551
Current ratio (A/B)	1.4	1.3
Short-term borrowings	120	165
Long-term borrowings	280	305
Total borrowings	400	470
Net debt	214	328
Debt / equity (x)	0.3	0.4
Net worth (equity)	1,280	1,305

Receivable days were 25 (Q1 FY26: 23) and inventory days 63 (Q1 FY26: 58).

5. Cash Flow Statement (condensed)

Net cash generated from operating activities was ₹58 crore for the quarter (Q1 FY26: ₹72 crore).

Net cash used in investing activities was ₹160 crore, primarily capital expenditure.

₹ crore	Q1 FY26	Q2 FY26

Operating cash flow	72	58
Investing cash flow	-95	-160
Financing cash flow	26	48
Capital expenditure	95	160
Net change in cash	3.0	-54

Interest coverage (EBITDA / finance cost) for the quarter was 6.9x (Q1 FY26: 8.9x). Debt / EBITDA (annualised) stood at 0.5x.

6. Notes to the Accounts

Capital expenditure of ₹160 crore was incurred during the quarter towards the Phase II capacity expansion (cumulative programme: ₹480 crore).
Term loans aggregating ₹180 crore mature in FY27 and are proposed to be refinanced. The company is in discussion with lenders; sanction is expected in Q1 FY27.

Debt maturity profile

Within 1 year	₹	165 Cr
1 - 3 years	₹	168 Cr
Beyond 3 years	₹	137 Cr

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